

SUITABILITY

NPS is suitable for anyone who is planning for retirement and has a low risk-taking ability. This gives a lot of stability and security as it is backed by the government. Besides, we also saw that NPS gives an additional deduction of up to Rs. 50,000 under NPS.

Individuals should opt for a mix of NPS and managing retirement benefits on their own. So what one can do is, invest up to Rs. 50,000 under NPS to take full benefit from the above scheme. Once the amount exceeds Rs. 50,000 and tax benefits are no longer available, they can go ahead with mutual funds and other asset classes to manage the rest of the portfolio on their own. This gives a good balance of safety, stability, and growth. Also, all those who are below the age of 55, should take advantage of the 50% exposure in E-class.

This is how we can systematically plan for our retirement using various asset classes and combining them with the government schemes. With this, we end our discussion of the National Pension Scheme. Let us now move ahead and understand another class for long term financial planning– Provident Funds.

